

1 ENGROSSED HOUSE
2 BILL NO. 3983

By: Caldwell (Trey) and Lawson
of the House

3 and

4 Paxton of the Senate

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8 [cigarettes - administration of cigarette excise
9 taxes - definition - partial exemption - timeline -
10 references - effective date]
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14 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

15 SECTION 1. AMENDATORY 68 O.S. 2021, Section 301, is
16 amended to read as follows:

17 Section 301. For purposes of Section 301 et seq. of this title:

18 1. The term "cigarette" is defined to mean and include all
19 rolled tobacco ~~or any substitute therefor~~, wrapped in paper or any
20 substitute therefor, intended to be heated or burned, and weighing
21 not to exceed three (3) pounds per thousand cigarettes;

22 2. The term "person" is defined to mean and include any
23 individual, company, partnership, joint venture, joint agreement,
24 association (mutual or otherwise), limited liability company,

1 corporation, estate, trust, business trust receiver, or trustee
2 appointed by any state or federal court, or otherwise, syndicate, or
3 any political subdivision of the state or combination acting as a
4 unit, in the plural or singular number;

5 3. The term "wholesaler", "distributor" and/or "jobber" is
6 defined to mean and include a person, firm or corporation organized
7 and existing, or doing business, primarily to sell cigarettes to,
8 and render service to retailers in the territory such person, firm
9 or corporation chooses to serve, and that:

- 10 a. purchases cigarettes directly from the manufacturer,
- 11 b. at least seventy-five percent (75%) of whose gross
12 sales are made at wholesale,
- 13 c. handles goods in wholesale quantities and sells
14 through salespersons, advertising and/or sales
15 promotion devices,
- 16 d. carries at all times at its principal place of
17 business a representative stock of cigarettes for
18 sale, and
- 19 e. comes into the possession of cigarettes for the
20 purpose of selling them to retailers or to persons
21 outside or within the state who might resell or retail
22 such cigarettes to consumers.

23 In addition to the foregoing, and irrespective of the percentage
24 or type of sales, the term "wholesaler", "distributor" and/or

1 "jobber" shall also include all purchasers of cigarettes making
2 purchases directly from the manufacturer for distribution at
3 wholesale or retail sale and this shall not affect the requirements
4 relating to retail licenses;

5 4. The term "retailer" is defined to be:

6 a. a person who comes into the possession of cigarettes
7 for the purpose of selling, or who sells them at
8 retail, or

9 b. a person, not coming within the classification of
10 wholesaler, distributor and/or jobber as herein
11 defined, having possession of more than one thousand
12 cigarettes;

13 5. The term "consumer" is defined to be a person who receives
14 or who in any way comes into possession of cigarettes for the
15 purpose of consuming them, giving them away, or disposing of them in
16 a way other than by sale, barter or exchange;

17 6. The term "Tax Commission" is defined to mean the Oklahoma
18 Tax Commission;

19 7. The term "sale" and/or "sales" is hereby defined to be and
20 declared to include sales, barter, exchanges and every other
21 manner, method and form of transferring the ownership of personal
22 property from one person to another, and is also declared to be the
23 use or consumption in this state in the first instance of cigarettes
24 received from without the state or of any other cigarettes upon

1 which the tax has not been paid. The term "first sale" shall mean
2 and include the first sale or distribution of cigarettes in
3 intrastate commerce or the first use or consumption of cigarettes
4 within this state;

5 8. The term "stamp" as herein used shall mean the stamp or
6 stamps by use of which:

7 a. the tax levied pursuant to the provisions of Section
8 301 et seq. of this title is paid,

9 b. the tax levied pursuant to the provisions of Section
10 349 of this title is paid, or

11 c. the payment in lieu of taxes authorized pursuant to a
12 compact entered into by the State of Oklahoma and a
13 federally recognized Indian tribe or nation pursuant
14 to the provisions of subsection C of Section 346 of
15 this title is paid;

16 9. The term "drop shipment" shall mean and include any delivery
17 of cigarettes received by any person within this state when payment
18 for such cigarettes is made to the shipper or seller by or through a
19 person other than the consignee;

20 10. The term "distributing agent" shall mean and include every
21 person in this state who acts as an agent of any person outside the
22 state by receiving cigarettes in interstate commerce and storing
23 such cigarettes subject to distribution or delivery upon order from
24 the person outside the state to distributors, wholesale dealers and

1 retail dealers, or to consumers. The term "distributing agent"
2 shall also mean and include any person who solicits or takes orders
3 for cigarettes to be shipped in interstate commerce to a person in
4 this state by a person residing outside of Oklahoma, the tax not
5 having been paid on such cigarettes;

6 11. The term "vending machine" shall mean and include any coin
7 operating machine, contrivance, or device, by means of which
8 cigarettes are sold or dispensed in their original container;

9 12. The term "use" means and includes the exercise of any right
10 or power over cigarettes incident to the ownership or possession
11 thereof, except that it shall not include the sale of cigarettes in
12 the regular course of business;

13 13. a. The term "delivery sale" means any sale of cigarettes
14 to a consumer in Oklahoma where either:

15 (1) the purchaser submits the order for such sale by
16 means of a telephonic or other method of voice
17 transmission, the ~~mails~~ mail or any other
18 delivery service, or the Internet or other online
19 service, or

20 (2) the cigarettes are delivered by use of the ~~mails~~
21 mail or other delivery service.

22 b. A sale of cigarettes which satisfies the criteria in
23 subparagraph a of this paragraph shall be a delivery
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1 sale regardless of whether the seller is located
2 within or outside of Oklahoma.

3 c. A sale of cigarettes not for personal consumption to a
4 person who is a wholesale dealer or a retail dealer
5 shall not be a delivery sale.

6 d. For purposes of this paragraph, any sale of cigarettes
7 to an individual in Oklahoma shall be treated as a
8 sale to a consumer unless such individual is licensed
9 as a distributor or retailer of cigarettes by the Tax
10 Commission;

11 14. The term "delivery service" means any person, including but
12 not limited to the United States Postal Service, that is engaged in
13 the commercial delivery of letters, packages, or other containers;

14 15. The term "manufacturer" means any person who manufactures,
15 fabricates, assembles, processes, or labels a finished cigarette; or
16 imports, either directly or indirectly, a finished cigarette for
17 sale or distribution in this state;

18 16. The term ~~"mails"~~ "mail" or "mailing" means the shipment of
19 cigarettes through the United States Postal Service;

20 17. The term "shipping container" means a container in which
21 cigarettes are shipped in connection with a delivery sale; and

22 18. The term "shipping documents" means bills of lading,
23 airbills, or any other documents used to evidence the undertaking by
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1 a delivery service to deliver letters, packages, or other
2 containers.

3 SECTION 2. AMENDATORY 68 O.S. 2021, Section 321, is
4 amended to read as follows:

5 Section 321. A. The following sales are hereby exempted from
6 the stamp excise tax levied pursuant to the provisions of Section
7 301 et seq. of this title:

8 1. All cigarettes sold to veterans hospitals and state operated
9 domiciliary homes for veterans located in the State of Oklahoma, for
10 distribution or sale to disabled ex-servicemen or disabled ex-
11 servicewomen interned in, or inmates of, such hospitals, or
12 residents of such homes;

13 2. All sales to the United States;

14 3. All sales to a federally recognized Indian tribe or nation
15 which has entered into a compact with the State of Oklahoma pursuant
16 to the provisions of subsection C of Section ~~4~~ 346 of this ~~act~~ title
17 or to a licensee of such a tribe or nation, upon which the payment
18 in lieu of taxes required by the compact has been paid; and

19 4. All sales to a federally recognized Indian tribe or nation
20 or to a licensee of such a tribe or nation upon which the tax levied
21 pursuant to the provisions of Section ~~4~~ 349 of this ~~act~~ title has
22 been paid.

23 B. To the sale of cigarettes that are intended to be heated
24 rather than burned shall be applied a tax exemption equal to fifty

1 percent (50%) of the tax levied pursuant to the provisions of
2 Section 301 et seq. of this title.

3 SECTION 3. AMENDATORY 68 O.S. 2021, Section 322, is
4 amended to read as follows:

5 Section 322. The Oklahoma Tax Commission shall prescribe such
6 rules and make such regulations as to the sale or distribution of
7 cigarettes, and the exemption from the stamp excise tax thereof, as
8 shall be deemed necessary to comply with the provisions of ~~the~~
9 ~~preceding section~~ Section 301 et seq. of this title, including the
10 creation of distinct stamps to affix to packages of cigarettes that
11 are intended to be heated rather than burned, and provide that such
12 stamps be made available on or before the effective date of this
13 act.

14 SECTION 4. AMENDATORY 68 O.S. 2021, Section 402, is
15 amended to read as follows:

16 Section 402. There shall be levied, assessed, collected and
17 paid in respect to the articles containing tobacco enumerated in
18 Section 401 et seq. of this title, a tax in the following amounts:

19 1. Little Cigars. Upon cigars of all descriptions made of
20 tobacco, or any substitute therefor, and weighing not more than
21 three (3) pounds per thousand, the tax levied on the products coming
22 under this paragraph shall be equal to the tax on such products that
23 is reported and paid as cigarette tax under Sections 301 through 325
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1 of this title. Further, the tax levied herein shall be paid in the
2 same manner as required in Sections 301 through 325 of this title;

3 2. Cigars. Upon cigars of all descriptions made of tobacco, or
4 any substitute therefor, weighing more than three (3) pounds per
5 thousand and having a manufacturer's recommended retail selling
6 price, under the Federal Code, of not exceeding four cents (\$0.04)
7 per cigar, one cent (\$0.01) for each cigar;

8 3. Cigars. Upon all other cigars of all descriptions made of
9 tobacco, or any substitute therefor, and weighing more than three
10 (3) pounds per thousand, Twenty Dollars (\$20.00) per thousand. For
11 the purpose of computing the tax, cheroots, stogies, etc., are
12 hereby classed as cigars;

13 4. Smoking Tobacco. Upon all smoking tobacco, the tax shall be
14 twenty-five percent (25%) of the factory list price exclusive of any
15 trade discount, special discount or deals; and

16 5. Smokeless Tobacco. Upon smokeless tobacco, the tax shall be
17 ~~twenty percent (20%) of the factory list price exclusive of any~~
18 ~~trade discount, special discount or deals~~ One Dollar and seventy-two
19 cents (\$1.72) per ounce and a proportionate tax at the same rate on
20 all fractional parts of an ounce thereof. The tax on smokeless
21 tobacco shall be imposed based on the net weight of the product as
22 listed by the manufacturer.
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1 It shall not be permissible for a retailer to advertise that the
2 retailer will absorb the tax due on the taxable merchandise
3 described herein. Such tax shall be paid by the consumer.

4 Notwithstanding any other provision of law, the tax levied
5 pursuant to the provisions of Section 401 et seq. of this title
6 shall be part of the gross proceeds or gross receipts from the sale
7 of tobacco products, or both, as those terms are defined in
8 paragraph 12 of Section 1352 of this title.

9 SECTION 5. AMENDATORY 68 O.S. 2021, Section 402-1, is
10 amended to read as follows:

11 Section 402-1. In addition to the tax levied by Section 402 of
12 this title, there is hereby levied upon the sale, use, exchange or
13 possession of articles containing tobacco as defined in Section 402
14 of this title, a tax in the following amounts:

15 1. Upon cigars of all descriptions made of tobacco, or any
16 substitute therefor, and weighing more than three (3) pounds per
17 thousand, and having a manufacturer's recommended retail selling
18 price, under the Federal Code, of more than four cents (\$0.04) for
19 each cigar, Ten Dollars (\$10.00) per thousand. For the purpose of
20 computing the tax, cheroots, stogies, etc., are hereby classed as
21 cigars; and

22 2. Upon all smoking tobacco, the tax shall be fifteen percent
23 (15%) of the factory list price exclusive of any trade discount,
24 special discount or deals; ~~and~~

1 ~~3. Upon smokeless tobacco, the tax shall be ten percent (10%)~~
2 ~~of the factory list price exclusive of any trade discount, special~~
3 ~~discount or deals.~~

4 This tax shall be paid by the consumer and no retailer may
5 advertise that he will pay or absorb this tax.

6 The tax herein levied on tobacco products shall be collected on
7 the same basis and in the same manner and in all respects as the tax
8 levied by the Tobacco Products Tax Law. The revenue from this
9 additional tax shall be apportioned by the Oklahoma Tax Commission
10 in the same manner as provided in Section 404 of this title, for the
11 apportionment of other tobacco products tax revenue.

12 SECTION 6. AMENDATORY 68 O.S. 2021, Section 402-3, is
13 amended to read as follows:

14 Section 402-3. A. In addition to the tax levied in Sections
15 402 and 402-1 of this title, effective January 1, 2005, there shall
16 be levied, assessed, collected, and paid in respect to the articles
17 containing tobacco enumerated in Section 401 et seq. of this title,
18 a tax in the following amounts:

19 1. Cigars. Upon all cigars of all descriptions made of
20 tobacco, or any substitute therefor, and weighing more than three
21 (3) pounds per thousand, Ninety Dollars (\$90.00) per thousand. For
22 the purpose of computing the tax, cheroots, stogies, etc., are
23 hereby classed as cigars; and

1 2. Smoking Tobacco. Upon all smoking tobacco, the tax shall be
2 forty percent (40%) of the factory list price exclusive of any trade
3 discount, special discount or deals; ~~and~~

4 ~~3. Smokeless Tobacco. Upon smokeless tobacco, the tax shall be~~
5 ~~thirty percent (30%) of the factory list price exclusive of any~~
6 ~~trade discount, special discount or deals.~~

7 B. Except as provided in subsection C of this section, the
8 revenue resulting from the additional tax levied in subsection A of
9 this section shall be apportioned by the Oklahoma Tax Commission and
10 transmitted to the State Treasurer as follows:

11 1. Twenty-two and six-hundredths percent (22.06%) shall be
12 placed to the credit of the Health Employee and Economy Improvement
13 Act Revolving Fund created in Section 1010.1 of Title 56 of the
14 Oklahoma Statutes;

15 2. Three and nine-hundredths percent (3.09%) shall be placed to
16 the credit of the Comprehensive Cancer Center Debt Service Revolving
17 Fund created in Section 160.1 of Title 62 of the Oklahoma Statutes;

18 3. Before July 1, 2008, seven and fifty-hundredths percent
19 (7.50%) shall be placed to the credit of the Trauma Care Assistance
20 Revolving Fund created in Section 1-2530.9 of Title 63 of the
21 Oklahoma Statutes. On and after July 1, 2008, seven and fifty-
22 hundredths percent (7.50%) shall be allocated as follows:

23 a. every month, an amount equal to the actual amount
24 placed to the credit of the Trauma Care Assistance

1 Revolving Fund pursuant to this paragraph for the same
2 month of the 2008 fiscal year shall be credited to the
3 Trauma Care Assistance Revolving Fund,

4 b. every month, any amount over and above the amount
5 placed to the credit of the Trauma Care Assistance
6 Revolving Fund pursuant to subparagraph a of this
7 paragraph shall be credited to the Oklahoma Emergency
8 Response Systems Stabilization and Improvement
9 Revolving Fund as created in Section 1-2512.1 of Title
10 63 of the Oklahoma Statutes until the combined amount
11 credited to the Oklahoma Emergency Response Systems
12 Stabilization and Improvement Revolving Fund pursuant
13 to this section and Section 302-5 of this title is
14 equal to Two Million Five Hundred Thousand Dollars
15 (\$2,500,000.00) each year, and

16 c. any additional revenue allocated pursuant to this
17 paragraph shall be placed to the credit of the Trauma
18 Care Assistance Revolving Fund;

19 4. Three and nine-hundredths percent (3.09%) shall be placed to
20 the credit of the Oklahoma State University College of Osteopathic
21 Medicine Revolving Fund created in Section 160.2 of Title 62 of the
22 Oklahoma Statutes;

23 5. Twenty-six and thirty-eight-hundredths percent (26.38%)
24 shall be placed to the credit of the Oklahoma Health Care Authority

1 Medicaid Program Fund created in Section 5020 of Title 63 of the
2 Oklahoma Statutes for the purposes of maintaining programs and
3 services funded under the federal "Jobs and Growth Tax Relief
4 Reconciliation Act of 2003", reimbursing city/county-owned
5 hospitals, increasing emergency room physician rates, and providing
6 TEFRA 134, also known as "Katie Beckett" services;

7 6. Two and sixty-five-hundredths percent (2.65%) shall be
8 placed to the credit of the Department of Mental Health and
9 Substance Abuse Services Revolving Fund created in Section 2-303 of
10 Title 43A of the Oklahoma Statutes;

11 7. Forty-four-hundredths of one percent (0.44%) shall be placed
12 to the credit of the Belle Maxine Hilliard Breast and Cervical
13 Cancer Treatment Revolving Fund created in Section 1-559 of Title 63
14 of the Oklahoma Statutes;

15 8. One percent (1%) shall be placed to the credit of the
16 Teachers' Retirement System Revolving Fund created in Section 158 of
17 Title 62 of the Oklahoma Statutes;

18 9. Two and seven-hundredths percent (2.07%) shall be placed to
19 the credit of the Education Reform Revolving Fund created in Section
20 34.89 of Title 62 of the Oklahoma Statutes;

21 10. Sixty-six-hundredths percent (0.66%) shall be placed to the
22 credit of the Tobacco Prevention and Cessation Revolving Fund
23 created in Section 1-105d of Title 63 of the Oklahoma Statutes;

1 11. Sixteen and eighty-three-hundredths percent (16.83%) shall
2 be placed to the credit of the General Revenue Fund; and

3 12. For fiscal years beginning July 1, 2004, and ending June
4 30, 2006, fourteen and twenty-three-hundredths percent (14.23%)
5 shall be apportioned to municipalities and counties that levy a
6 sales tax, in the proportions which total municipal and county sales
7 tax revenue was apportioned by the Tax Commission in the preceding
8 month.

9 For fiscal years beginning July 1, 2006, and thereafter, the
10 apportionment percentage specified in paragraph 12 of this
11 subsection will be adjusted by dividing the total municipal and
12 county sales tax revenue collected in the calendar year immediately
13 preceding the commencement of the fiscal year by the sum of the
14 state sales tax revenue and total municipal and county sales tax
15 revenue collected in the same year. This ratio shall be divided by
16 the ratio of the total municipal and county sales tax revenue
17 collected in the calendar year beginning January 1, 2004, and ending
18 December 31, 2004, divided by the sum of the state sales tax revenue
19 and total municipal and county sales tax revenue collected in the
20 same year. The resulting quotient shall be multiplied by fourteen
21 and twenty-three-hundredths percent (14.23%) to determine the
22 apportionment percentage for the fiscal year.

23 For fiscal years beginning July 1, 2006, and thereafter, any
24 adjustment to the percentage of revenues apportioned to

1 municipalities and counties shall be reflected in the percent of
2 revenues apportioned to the General Revenue Fund.

3 C. The net amount of any revenue resulting from a payment in
4 lieu of excise taxes on little cigars, cigars, and smoking tobacco
5 ~~and smokeless tobacco~~ levied by this section, pursuant to a compact
6 with a federally recognized Indian tribe or nation after deductions
7 for deposits into trust accounts pursuant to such compacts, shall be
8 apportioned by the Tax Commission and transmitted to the State
9 Treasurer as follows:

10 1. Thirty-three and forty-nine-hundredths percent (33.49%)
11 shall be placed to the credit of the Health Employee and Economy
12 Improvement Act Revolving Fund created in Section 1010.1 of Title 56
13 of the Oklahoma Statutes;

14 2. Four and sixty-nine-hundredths percent (4.69%) shall be
15 placed to the credit of the Comprehensive Cancer Center Debt Service
16 Revolving Fund created in Section 160.1 of Title 62 of the Oklahoma
17 Statutes;

18 3. Before July 1, 2008, eleven and thirty-nine-hundredths
19 percent (11.39%) shall be placed to the credit of the Trauma Care
20 Assistance Revolving Fund created in Section 1-2530.9 of Title 63 of
21 the Oklahoma Statutes. On and after July 1, 2008, eleven and
22 thirty-nine-hundredths percent (11.39%) shall be allocated as
23 follows:
24

- 1 a. every month, an amount equal to the actual amount
2 placed to the credit of the Trauma Care Assistance
3 Revolving Fund pursuant to this paragraph for the same
4 month of the 2008 fiscal year shall be credited to the
5 Trauma Care Assistance Revolving Fund,
- 6 b. every month, any amount over and above the amount
7 placed to the credit of the Trauma Care Assistance
8 Revolving Fund pursuant to subparagraph a of this
9 paragraph shall be credited to the Oklahoma Emergency
10 Response Systems Stabilization and Improvement
11 Revolving Fund as created in Section 1-2512.1 of Title
12 63 of the Oklahoma Statutes until the combined amount
13 credited to the Oklahoma Emergency Response Systems
14 Stabilization and Improvement Revolving Fund pursuant
15 to this section and Section 302-5 of this title is
16 equal to Two Million Five Hundred Thousand Dollars
17 (\$2,500,000.00) each year, and
- 18 c. any additional revenue allocated pursuant to this
19 paragraph shall be placed to the credit of the Trauma
20 Care Assistance Revolving Fund;

21 4. Four and sixty-nine-hundredths percent (4.69%) shall be
22 placed to the credit of the Oklahoma State University College of
23 Osteopathic Medicine Revolving Fund created in Section 160.2 of
24 Title 62 of the Oklahoma Statutes;

1 5. Forty and six-hundredths percent (40.06%) shall be placed to
2 the credit of the Oklahoma Health Care Authority Medicaid Program
3 Fund created in Section 5020 of Title 63 of the Oklahoma Statutes
4 for the purposes of maintaining programs and services funded under
5 the federal "Jobs and Growth Tax Relief Reconciliation Act of 2003",
6 reimbursing city/county-owned hospitals, increasing emergency room
7 physician rates, and providing TEFRA 134, also known as "Katie
8 Beckett" services;

9 6. Four and one-hundredths percent (4.01%) shall be placed to
10 the credit of the Department of Mental Health and Substance Abuse
11 Services Revolving Fund created in Section 2-303 of Title 43A of the
12 Oklahoma Statutes;

13 7. Sixty-seven-hundredths percent (0.67%) shall be placed to
14 the credit of the Belle Maxine Hilliard Breast and Cervical Cancer
15 Treatment Revolving Fund created in Section 1-559 of Title 63 of the
16 Oklahoma Statutes; and

17 8. One percent (1%) shall be placed to the credit of the
18 Tobacco Prevention and Cessation Revolving Fund created in Section
19 1-105d of Title 63 of the Oklahoma Statutes.

20 D. It shall not be permissible for a retailer to advertise that
21 the retailer will absorb the tax due on the taxable merchandise
22 described herein. Such tax shall be paid by the consumer.

23 SECTION 7. This act shall become effective November 1, 2026.
24

1 Passed the House of Representatives the 25th day of March, 2026.

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3 _____
4 Presiding Officer of the House
5 of Representatives

6 Passed the Senate the ____ day of _____, 2026.

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8 _____
9 Presiding Officer of the Senate